

If pen and ink are complements, then an increase in the price of pen will cause:

- ▶ An increase in the price of ink.
- ▶ **Less ink to be demanded at each price .**
- ▶ A decrease in the demand for pen.
- ▶ A rightward shift in the demand curve for ink.

A good for which income and quantity demanded are inversely related is known as:

- ▶ **Inferior good .**
- ▶ Complementary good.
- ▶ Normal good.
- ▶ None of the given options.

At the equilibrium price:

- ▶ There will be a shortage.
- ▶ **There will be neither a shortage nor a surplus.**
- ▶ There will be a surplus.
- ▶ There are forces that cause the price to change.

A market is said to be in equilibrium when:

- ▶ Demand equals output.
- ▶ There is downward pressure on price.
- ▶ **The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price.**

- ▶ All buyers are able to find sellers willing to sell to them at the current price.

We know that the demand for a product is elastic:

- ▶ When price rises, total revenue rises.
- ▶ **When price rises, total revenue falls .**
- ▶ When income rises, quantity demanded rises.
- ▶ When income falls, quantity demanded rises.

Which of the following is regarded as a general determinant of price elasticity of demand?

- ▶ Nature of the good (luxury versus necessity).
- ▶ Availability of close substitutes.
- ▶ Share of consumer's budget and passage of time.
- ▶ **All of the given options.**

As more of a good is consumed, then total utility typically:

- ▶ Increases at a decreasing rate.
- ▶ Decreases as long as marginal utility is negative.
- ▶ Decreases as long as marginal utility is positive.
- ▶ **Is negative as long as marginal utility is decreasing.**

Which of the following is the term that economists use to describe how consumers rank different goods and services?

- ▶ Satisfaction index.
- ▶ Goodness.

► **Utility.**

► None of the given options.

The extra value that consumers receive above what they pay for that good is called:

► Producer surplus.

► Utility.

► Marginal utility.

► **Consumer surplus .**

A risk-averse individual has:

► A diminishing marginal utility of income.

► An increasing marginal utility of risk.

► An increasing marginal utility of income.

► **A diminishing marginal utility of risk .**

As long as all prices remain constant, an increase in money income results in:

► **An increase in the slope of the budget line.**

► A decrease in the slope of the budget line.

► An increase in the intercept of the budget line.

► A decrease in the intercept of the budget line.

Assume leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:

► Increase hours of work.

► **Decrease hours of work .**

- ▶ Not change hours of work.
- ▶ None of the given options.

The budget line is the boundary between:

- ▶ Preferred and non preferred consumption combinations.
- ▶ **Affordable and unaffordable consumption combinations .**
- ▶ Income and expenditure.
- ▶ One point on a budget line.

An isoquant curve shows:

- ▶ **All the alternative combinations of two inputs that yield the same maximum total product.**
- ▶ All the alternative combinations of two products that can be produced by using a given set of inputs fully and in the best possible way.
- ▶ All the alternative combinations of two products among which a producer is indifferent because they yield the same profit.
- ▶ None of the given options.

A perfectly competitive firm maximizes profit by finding the level of production at which:

- ▶ **Price = Marginal Cost .**
- ▶ Price = Average Total Cost.
- ▶ Average Total Cost = Marginal Cost.
- ▶ Price < Marginal Cost.

Compared to the equilibrium price and quantity sold in a competitive market, a monopolist will charge a _____ price and sell a _____ quantity.

- ▶ Higher; larger .
- ▶ Lower; larger .
- ▶ **Higher; smaller .**
- ▶ Lower; smaller.

A market with few entry barriers and with many firms that sell differentiated products is:

- ▶ Purely competitive.
- ▶ A monopoly.
- ▶ **Monopolistically competitive .**
- ▶ Oligopolistic.

If the income elasticity of demand is $1/2$, the good is:

- ▶ A luxury .
- ▶ **A normal good (but not a luxury) .**
- ▶ An inferior good .
- ▶ A Giffen good .

Which of the following is NOT a factor of production?

- ▶ Labour.
- ▶ Land.
- ▶ Capital.

► **Investment .**

Production possibilities curve will shift downward if there is:

- Immigration of skilled workers into the nation.
- An increase in the size of the working-age population.
- **A decrease in the size of the working-age population .**
- Increased production of capital goods.

Production possibilities curve will shift upward if there is:

- A reduction in unemployment.
- **An increase in the production of capital goods .**
- A reduction in discrimination.
- All of the given options.

Questions:

Q1. What will be the role of firms in case of maximin strategy and maximax strategy regarding profit?